

In-Class Group Exercise

Labour Markets and the Future of Work

ECON 204 – Contemporary Economic Issues

Instructions

Work in groups of **2–3 students**. Answer the following questions carefully and be prepared to discuss your answers with the class. Show all calculations clearly where required.

Estimated time: **50–60 minutes**

Part I: Structural Change in Employment

The table below shows the employment shares of three major sectors in a hypothetical advanced economy.

Sector	1990	2010	2025
Agriculture	7%	4%	2%
Manufacturing	25%	16%	10%
Services	68%	80%	88%

Questions

1. Which sector experienced the largest decline in employment share between 1990 and 2025?
2. By how many percentage points did manufacturing employment fall over this period?

3. What broad structural change does this table illustrate about modern economies?
4. Give two economic explanations for the decline in manufacturing employment.
5. Why has service-sector employment become dominant in advanced economies?

Part II: Automation, Tasks, and Occupations

Economists increasingly argue that technology replaces **tasks** rather than entire jobs. Consider the following occupations:

Occupation	Mostly Routine?	Easily Automated?	Explain Briefly
Accountant			
Taxi Driver			
Nurse			
Data Entry Clerk			
Software Developer			

Questions

6. Which of the occupations above are most vulnerable to automation?
7. Why are routine tasks generally easier to automate?
8. Why are interpersonal, creative, and judgment-intensive tasks harder to automate?
9. Explain why automation may change a job without eliminating the occupation entirely.

Part III: Wage Inequality and Skill Demand

Suppose the following wage data describe two categories of workers:

Worker Type	Average Wage in 2000	Average Wage in 2025
High-skill workers	\$30/hour	\$52/hour
Low-skill workers	\$18/hour	\$22/hour

Questions

10. Calculate the wage gap between high-skill and low-skill workers in 2000.
11. Calculate the wage gap between high-skill and low-skill workers in 2025.
12. Has wage inequality increased or decreased?
13. Calculate the percentage increase in wages for:
 - (a) high-skill workers
 - (b) low-skill workers
14. Give two economic explanations for why the wage gap changed over time.

Part IV: A Simple Canadian Labour Market Data Exercise

Suppose the following unemployment rates are reported for Canada:

Group	2019	2025
Youth (15–24)	11.0%	13.5%
Prime-age workers (25–54)	5.2%	6.0%
Older workers (55+)	4.8%	5.1%

Questions

15. Which group had the highest unemployment rate in both years?
16. By how many percentage points did youth unemployment increase between 2019 and 2025?
17. Why are younger workers often more vulnerable to labour market disruptions?
18. Explain why technological change may affect younger and older workers differently.

Part V: The Gig Economy and Non-Standard Work

Many workers today earn income through digital platforms such as Uber, DoorDash, Instacart, or Upwork.

Questions

19. Give two advantages of gig work for workers.

20. Give two disadvantages of gig work for workers.

21. Should gig workers be treated as employees or independent contractors? Explain your reasoning.

22. What labour market policies could improve working conditions in the gig economy?

Part VI: AI and the Future of Work

Read the following statement and answer the questions below.

“Artificial intelligence will not simply destroy jobs. Instead, it is likely to restructure many occupations by automating some tasks, complementing others, and increasing the value of workers who can adapt.”

Questions

23. What does it mean to say that AI may **complement** labour rather than replace it?

24. Give one example of a job where AI could raise worker productivity.

25. Give one example of a job where AI could reduce labour demand.

26. What types of skills are likely to become more valuable in the future labour market?

Part VII: Policy Debate

Choose **one** of the following policy responses:

- expanded retraining programs
- stronger labour protections for gig workers
- universal basic income
- shorter work week
- greater public investment in education and digital skills

Answer the following questions:

27. How would this policy affect workers?

28. How might this policy affect firms?

29. What unintended consequences might arise?

30. Would you recommend this policy? Why or why not?

Class Wrap-Up

Each group should prepare a brief summary of:

- one key trend in labour markets,
- one major risk from technological change,
- one policy that could improve labour market outcomes in the future.